

RaceSims · Chennai — Built to Profit

COVERS ALL COSTS AT 10% FULL · PROFITABLE FROM MONTH 3 · MONEY BACK IN ~13 MONTHS

The picture: a "rig" is one racing simulator seat. The centre covers every cost when its seats are just 10% booked — and a real RaceSims dealer already runs at twice that. From there it is firmly profitable; the figures below show how much.

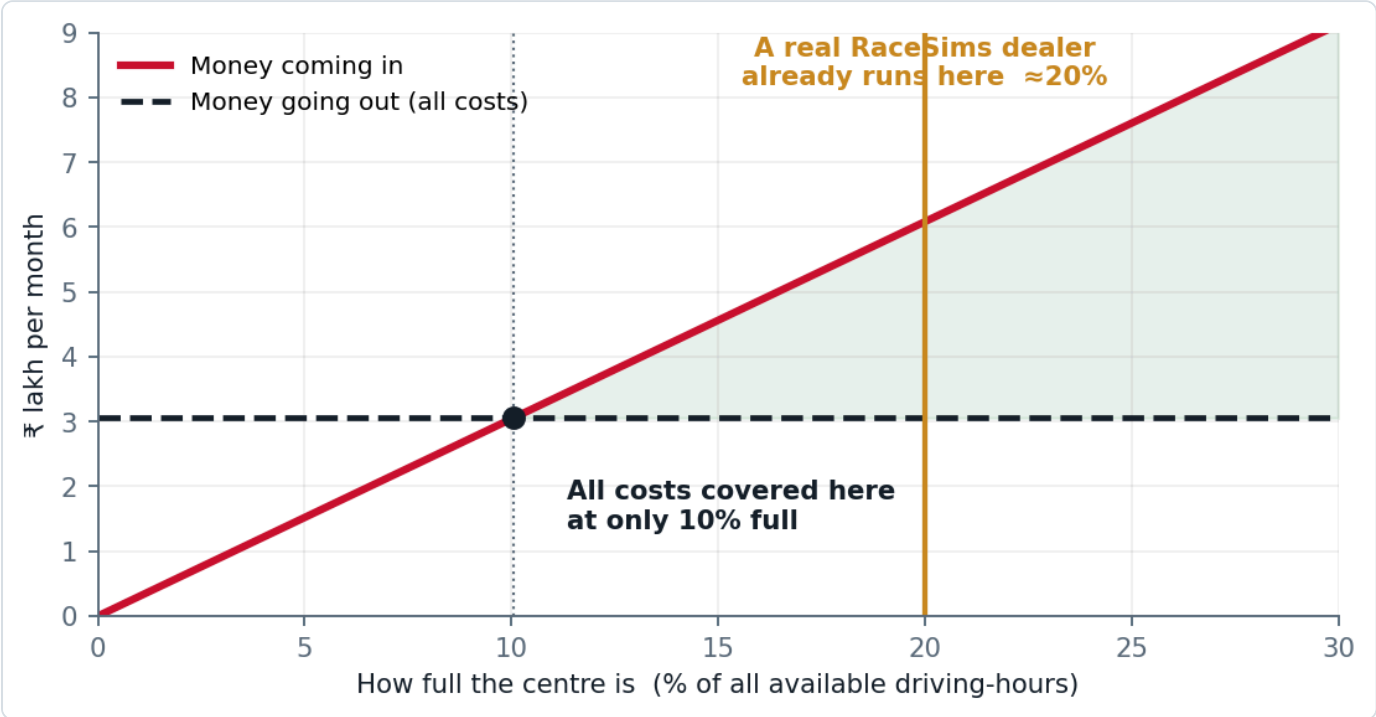
10% full
covers every cost

₹8.6–29.3L
first-year profit

₹68.3L
total invested

~13 months
money back

1 · All costs covered at just 10% full

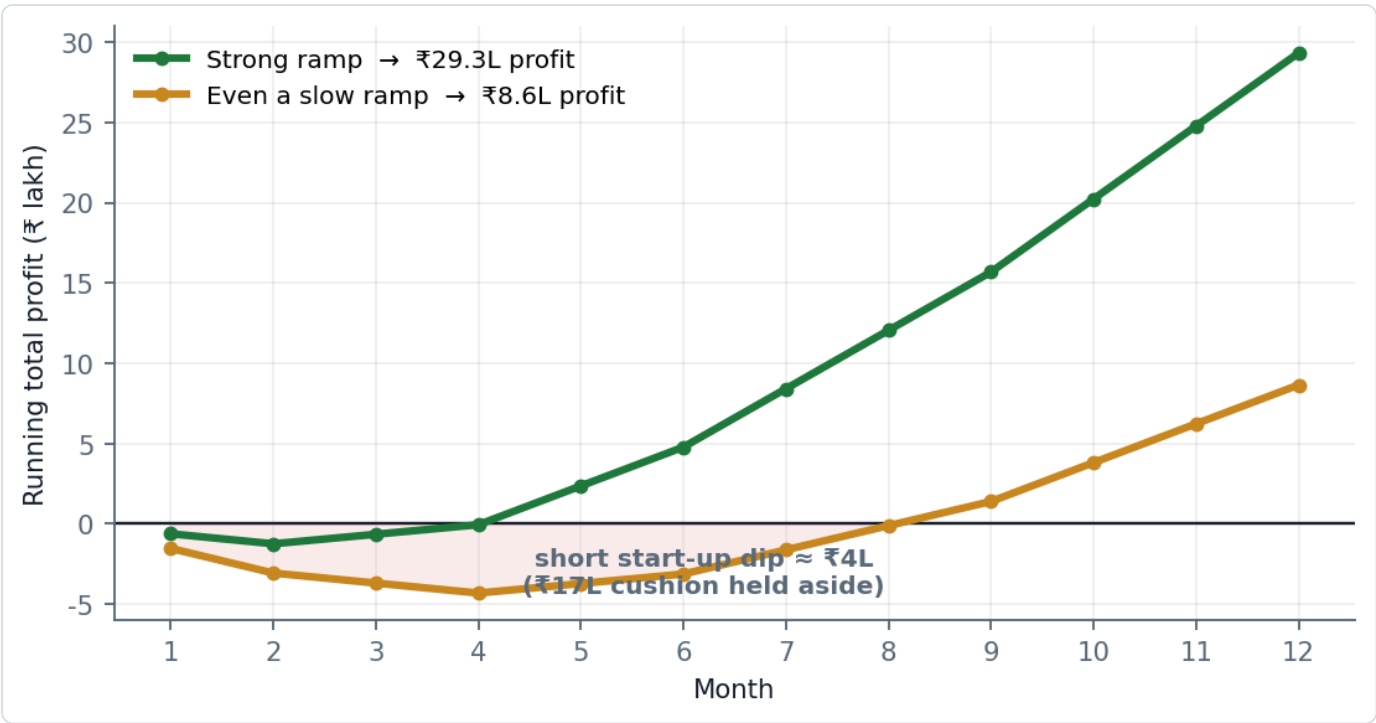


The red line is money coming in as the centre fills up; the dashed line is everything it costs to run. They cross at just 10% full — every rupee above that is profit. A real dealer already runs at about 20%, well into the green.

The numbers at a glance

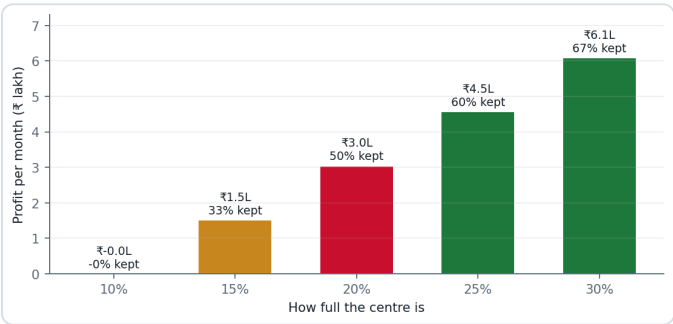
What it is	8 racing rigs + 2 staff, drop-in sessions
Seats available	2,496 driving-hours every month
Average price / hour (after tax)	₹1218
Cost to run each month	₹3,05,500
Covers all costs at	just 10% full
Money invested	₹68.3L (₹59.0L net of recoverable items)
First-year profit	₹29.3L strong · ₹8.6L slow ramp
Money back in	about 13 months
Making money from	Month 3 (strong) · Month 5 (slow)

2 · A short start-up, then steady profit



Running total of profit through the first year. Even a slow ramp (gold line) is comfortably profitable; the only early dip is about ₹4 lakh, against a ₹17 lakh cushion held aside. Profit lands by month 3–5 and climbs steadily.

3 · Profit grows fast as we fill up



HOW FULL	SALES / MO	PROFIT / MO	% KEPT
10% full	₹3.04L	₹-0.01L	-0%
15% full	₹4.56L	₹1.51L	33%
20% full	₹6.08L	₹3.03L	50%
25% full	₹7.60L	₹4.55L	60%
30% full	₹9.12L	₹6.07L	67%

Every extra bit of "fullness" adds about ₹0.30 lakh of profit a month. By 25% full we keep 60 paise of every rupee.

RaceSims · Chennai — The Plan, in Full

WHAT WE SPEND · WHAT IT COSTS TO RUN · WHAT WE MAKE

The plan. A premium sim-racing centre run by Racesims Solutions Pvt Ltd — **8 racing rigs, 2 staff**, about 1,142 sq ft, open 12 hours a day. People pay to drive; a café and a training academy add further income later.

What people pay (tax included): ₹750 for 30 min / ₹1,250 for an hour on a normal rig · ₹1,000 / ₹1,750 on the motion rig.

Timeline: from go-ahead to opening ≈ 16 weeks · profitable by month 3–5 · money back in ≈ 13 months.

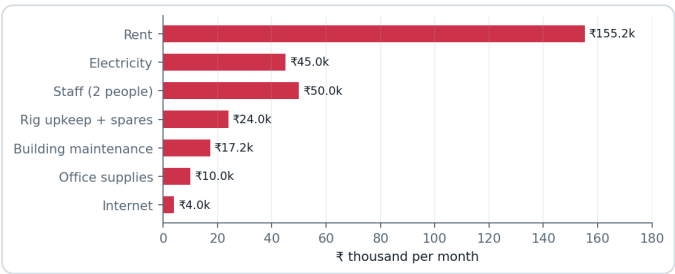
What we invest (one time)

ITEM	AMOUNT
8 racing rigs (bought at our own cost price)	₹50,79,200
Deposit — 6 months rent (comes back later)	₹9,31,500
Power, electrical & battery backup	₹3,00,000
Interiors, branding, coffee & office	₹4,60,000
Cash to run the first 2 months	₹6,11,000
Buffer for surprises (5%)	₹3,38,535
Total upfront cost	₹77,20,235
<i>less refundable tax (GST credit)</i>	<i>(₹8,90,756)</i>
Money actually spent	₹68,29,479
<i>of which deposit (comes back)</i>	<i>(₹9,31,500)</i>
Net cost after recoverable items	₹58,97,979

The rigs are RaceSims' own product, bought at cost — worth ₹85–95L at shop price, so most of the spend is a resellable asset, not money gone.

What it costs to run (each month)

ITEM	₹ / MONTH
Rent	₹155,250
Electricity	₹45,000
Staff (2 people)	₹50,000
Rig upkeep + spares	₹24,000
Building maintenance	₹17,250
Office supplies	₹10,000
Internet	₹4,000
Total each month	₹3,05,500



What we make

10% full covers all costs	₹8.6–29.3L first-year profit	60%+ profit margin at 25% full	~13 months money back
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A few terms, in plain English. **How full / occupancy** = share of all seat-hours that are actually booked. **Covers all costs (break-even)** = the point where income equals costs; everything above is profit. **Profit (EBITDA)** = money left after running costs. **GST credit** = tax paid on purchases that the business gets back. **Payback** = time for profit to repay the investment.

Basis: prices include tax (master rate card: 30 min ₹750 · 1 hr ₹1,250 · motion +₹500/hr); figures assume full company tax and no tax breaks; both ramps are checked against a real RaceSims dealer already operating (≈20% full by month 6). Café & academy income is extra, not counted here. · RaceSims · Chennai · Racesims Solutions Pvt Ltd